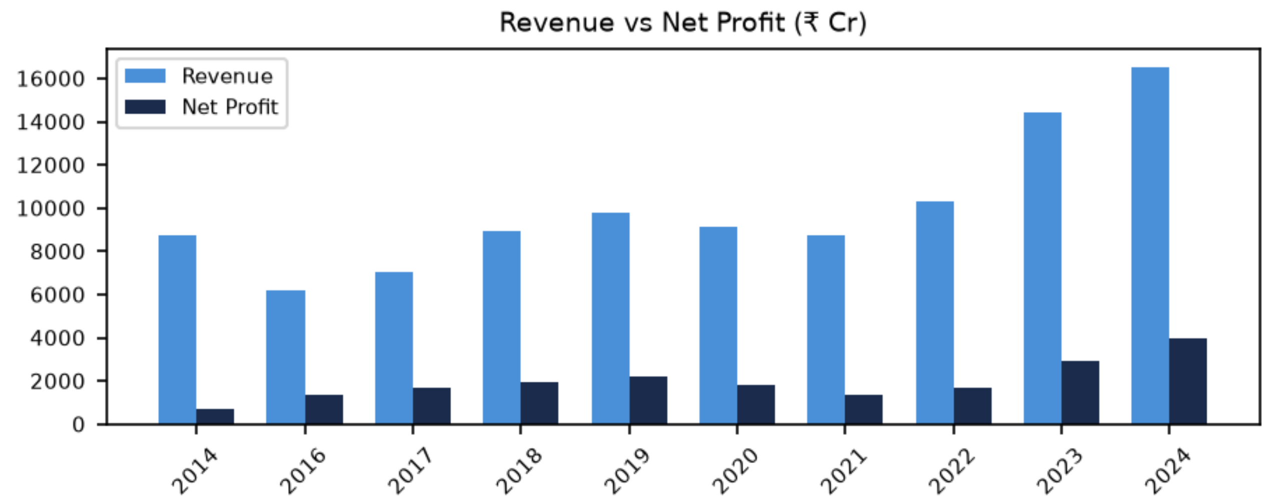
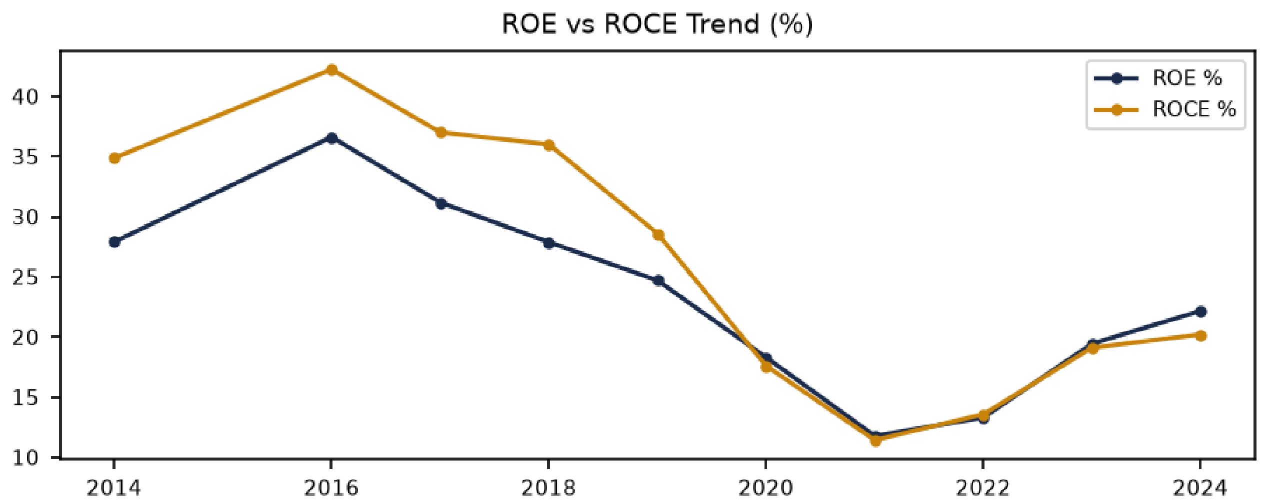
Eicher Motors Ltd

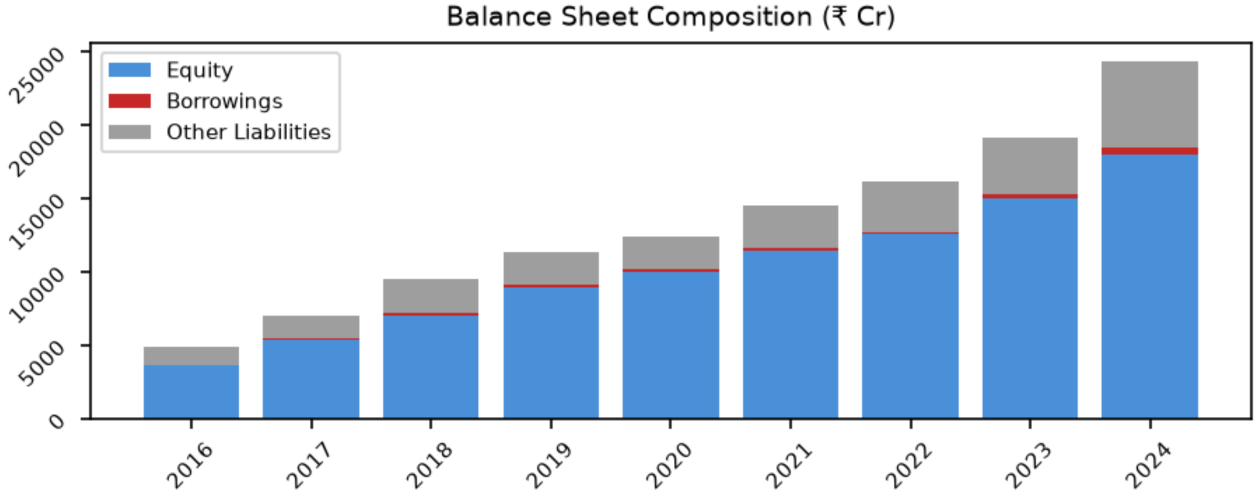
EICHERMOT · Consumer Discretionary

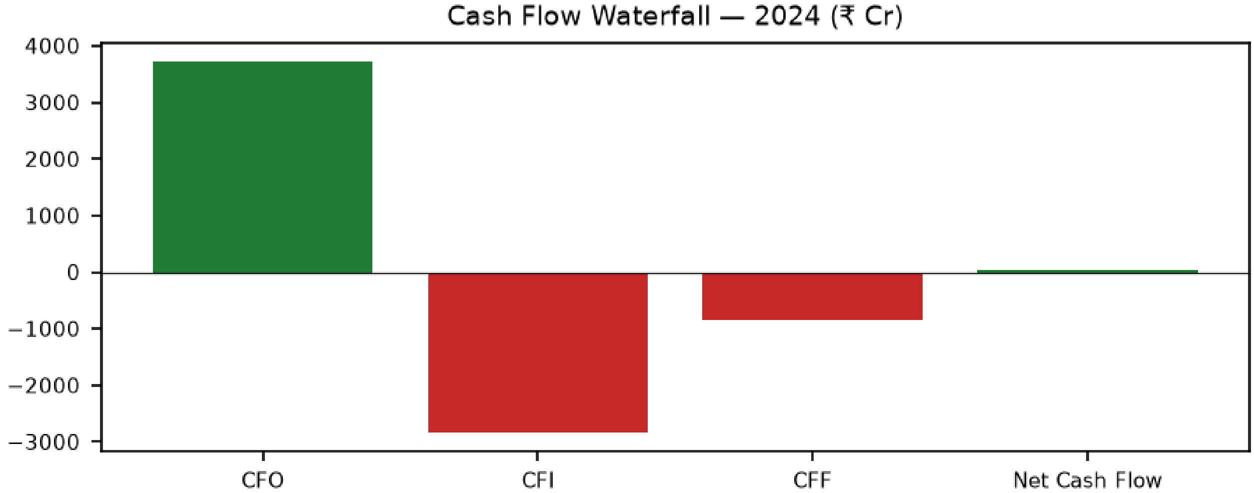
ROE	ROCE	Net Profit Margin
22.2%	20.2%	24.2%

Debt-to-Equity	Revenue CAGR (5yr)	Free Cash Flow
0.02	11.0%	■890 Cr









Pros	***Cons***
✓ Strong free cash flow generation over 5 years signals healthy business fundamentals	✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
✓ Return on equity improving for 3 consecutive years shows strengthening business quality	
✓ Consistent dividend yield above 2% backed by positive free cash flow	
✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing	
✓ Growing asset base funded by internal accruals reflects self-sustaining growth	
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits	

Capital Allocation: Reinvestor